


## Managing Growth Responsibly: Prudent Fiscal Management

The government's development agenda has been supported by measures aimed at strengthening Bihar's financial management.

The Cabinet has approved the temporary enhancement of the Bihar Contingency Fund from ₹350 crore to ₹13,900 crore until 30 March 2027, ensuring adequate resources to respond quickly to emergencies and disaster related expenditure. Financial management has also been modernised through the creation of a Cyber Treasury for the centralised accounting of SNA SPARSH bills, streamlining payments under the just in time financial system.

In addition, the government has approved the release of grants recommended by both the Fifteenth Finance Commission and the Fifth State Finance Commission, strengthening the financial capacity of rural and urban local bodies across Bihar.

## Building Bihar's Digital Future: Preparing for the Knowledge Economy

As India positions itself as a global leader in Artificial Intelligence and digital innovation under the leadership of Hon'ble Prime Minister Shri Narendra Modi, Bihar is laying the foundations of its own knowledge economy through the proposed Bihar AI Policy 2026.



While investing in physical infrastructure, Bihar is also positioning itself as an emerging technology driven economy.

The Department of Information Technology recently convened an extensive consultation on the proposed Bihar AI Policy 2026, led by IT Minister Nitish Mishra, Chief Secretary Pratyaya Amrit and IT Secretary Abhay Kumar Singh. The policy seeks to transform Bihar from a state associated with migration into one driven by innovation and knowledge creation.

Developed with the participation of organisations including the India AI Mission, Microsoft, Google India, NASSCOM, IIT Patna, Deloitte, KPMG and PwC, the policy rests on three pillars:

- Advanced digital infrastructure through AI laboratories, data centres and localised Large Language Models.
- A future ready workforce supported by AI education and skill development.
- Strong partnerships between industry and academic institutions to promote innovation and research.

The government is also encouraging the use of Artificial Intelligence across welfare programmes to improve efficiency and transparency. Legislators, officials and government employees will receive specialised AI training through institutions including NUS, C-DAC, IIT Patna and NIELIT.

Private sector participation is gathering pace as well. Tiger Analytics has announced plans to establish a 200 person Global AI Delivery Centre in Patna while training 5,000 local youth in emerging technologies, reinforcing Bihar's ambition to become an important player in India's digital economy.

## The Road Ahead: A Strong Beginning

The first hundred days of the new government present a picture of a state attempting to accelerate development across multiple fronts. From governance reforms and industrial investment to tourism, infrastructure, clean energy, education, healthcare, agriculture and digital innovation, Bihar has laid out an ambitious roadmap for inclusive growth.

The scale of these initiatives reflects a long term vision that seeks to improve public services, create employment, strengthen infrastructure and encourage investment while ensuring that development reaches both urban and rural communities.

Challenges inevitably remain, particularly in sustaining the pace of implementation and ensuring long term fiscal discipline. Yet the breadth of decisions taken during these first hundred days demonstrates a clear intent to combine economic growth with social development.

**If implemented effectively, these initiatives have the potential to position Bihar as a more competitive, connected, and investment-ready state, contributing meaningfully to Prime Minister Shri Narendra Modi's vision of Viksit Bharat by 2047.**

